

Now, it may seem beneficial to opt for the new tax regime because of the lower tax slabs. However, there are situations where the old tax regime might lead to more savings due to all the deductions and exemptions it offers.

Let’s take an illustration to understand how the tax liability varies between the regimes followed by looking at the criteria according to which you can determine suitability.

Illustration for comparison:

Let’s use the example of Ms. Sakshi, who earns a salary of ₹75,000 per month. The HRA deduction is ₹100,000 annually. She uses a combination of PPF, EPF, and ELSS mutual funds to utilize the Section 80C limit of ₹1.5 lakh. She also purchased health insurance for which she paid a ₹25,000 premium (self), which she claims as a tax-deductible under Section 80D.

So, the Tax Liabilities under each regime come out to:

Particulars	Old Regime	New Regime with New Slabs
Gross Salary for the year	₹ 9,00,000	₹ 9,00,000
Less: Deductions		
Standard deduction from salary	₹ 50,000	₹ 50,000
HRA Exemption	₹ 1,00,000	—
80C Investments & Expenses	₹ 1,50,000	—
Mediclaim premium deduction (Section 80D)	₹ 25,000	—
Taxable Income	₹ 5,75,000	₹ 8,50,000
Income Tax Payable	₹ 27,500	₹ 40,000
Health & Education Cess @4%	₹ 1,100	₹ 1,600
Total Tax Liability	₹ 28,600	₹ 41,600